MICROECONOMIC REFORM POLICIES

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Microeconomic reform policies are an important part of the Australian government's economic policy mix. The macroeconomic policies of monetary and fiscal policy can be used to achieve the government's economic objectives in the short to medium term. In contrast microeconomic policies can be used by the Australian government in the long term to increase efficiency, productivity and competitiveness in the economy.

Microeconomic Reform

Microeconomics is the study of individual economic behaviour and is most closely linked to the behaviour of consumers and producers and the operation of markets at the microeconomic level of activity. This is in contrast to macroeconomics which is the study of aggregate economic behaviour or activity in the economy as a whole such as GDP, employment and national income.

Microeconomic reform policies were used widely by the Hawke and Keating governments in the 1980s and 1990s as a means of raising the efficiency of production, competition in markets, and the productivity of labour and capital.

Examples of microeconomic reform policies include the dismantling of industry protection (such as tariffs and subsidies); the introduction of enterprise or productivity bargaining in the labour market; reform of the taxation system; and the deregulation of certain markets such as finance to promote competition and efficiency.

Some of the key features of microeconomic reform policies include the following:

- They are directed at the supply or output side of the economy to increase productive capacity.
- They are targeted at both private sector and public sector enterprises.
- They are targeted at both product markets where final goods and services are sold, and factor markets where the factors of production (such as labour and capital) are bought and sold.
- They are targeted at both the tradable goods sector (i.e. exports and import competing industries) and the non tradable goods sector (such as infrastructure and non traded goods).
- They are long run policies designed to reallocate the economy's resources to their most efficient uses in production.

Shifts in Aggregate Supply

The aggregate supply (AS) curve in the economy represents the total production or output of goods and services at various price levels. The aggregate supply curve slopes upwards from left to right as more goods and services are supplied by firms as aggregate demand and the price level rises. This is shown in **Figure 1**.

Aggregate supply is the sum of firms' production of goods and services in the economy. Aggregate supply is determined by the level of aggregate demand (AD) so if consumers demand more goods and services firms will increase their production to meet this increase in demand.

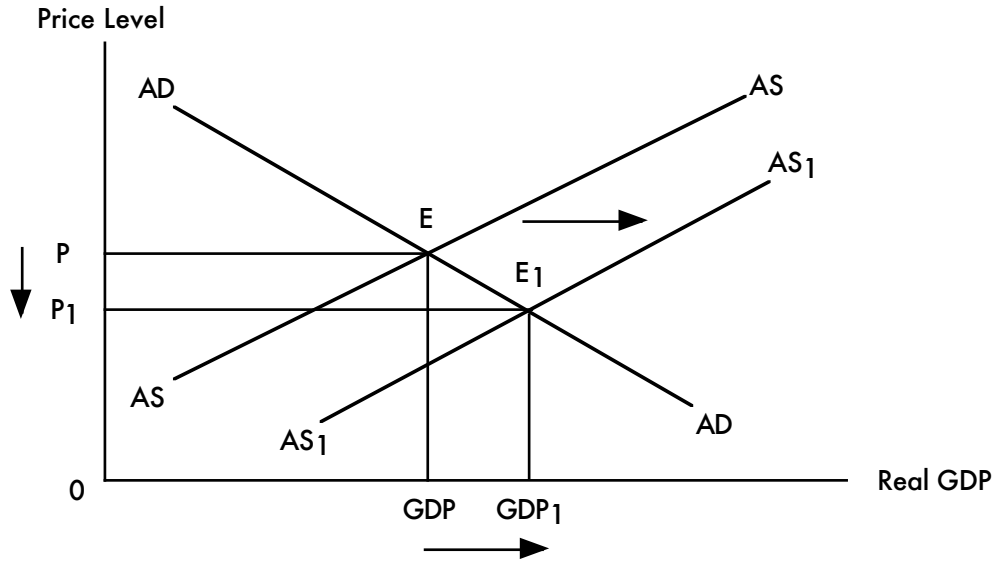
The point where aggregate demand (AD) and aggregate supply (AS) intersect is known as equilibrium. This means that aggregate demand is equal to aggregate supply at a particular price level. At equilibrium (E) there is no tendency for the level of output or price level to change.

The main aim of microeconomic reform policies is to cause a shift in the aggregate supply curve to the right so that more goods and services can be produced but at a lower price level. In other words the rate of economic growth is increased but without an accompanying increase in the rate of inflation. In **Figure 1** this is shown by the following:

- AS shifts to the right to AS_1
- Output or real GDP increases from GDP to GDP_1
- The new equilibrium is E_1 where $AD = AS_1$
- The price level falls from P to P_1

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Figure 1: A Rightward Shift in Aggregate Supply



Examples of microeconomic reform policies that can lead to an increase in aggregate supply include improvements in infrastructure such as transport and communications, a reduction in government regulation of markets, and lower labour costs through an improvement in employee productivity.

Productivity and Efficiency Gains

One of the key ways of deriving benefits from successful microeconomic reform polices is by raising productivity in workplaces. Productivity refers to the output produced by inputs over time. The three main measures of productivity include the following:

$$\text{Labour Productivity} = \frac{\text{Output}}{\text{Labour Inputs/Time}}$$

$$\text{Capital Productivity} = \frac{\text{Output}}{\text{Capital Inputs/Time}}$$

$$\text{Multifactor Productivity (MFP)} = \frac{\text{Output}}{\text{All Factor Inputs/Time}}$$

Labour and capital are the two most important inputs used in production by firms. Raising labour and capital productivity is important in increasing output over time. However multifactor productivity (MFP) which measures the output produced by using labour and capital in combination is a more important measure of overall productivity.

Efficiency gains from the use of successful microeconomic reform policies result from a more efficient allocation of the economy's resources. That is, they are allocated to their most productive uses and therefore earn the highest rates of return. These efficiency gains are threefold:

1. Technical or productive efficiency is achieved if firms use the least cost methods of production and are able to produce their output at minimum average cost.

2. Allocative efficiency is where firms charge prices which reflect the marginal cost of production so that resources are allocated to produce goods and services demanded by consumers.

3. Dynamic efficiency is achieved if firms respond to changes in consumer demand and technology over time so that they minimise costs of production.

Costs of Microeconomic Reform

Whilst there are clear benefits from implementing successful microeconomic reform policies there are also costs involved:

- Microeconomic reform policies may take many years to achieve benefits to the economy in the long run. Firms and workers may experience 'reform fatigue'.

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Governments may also lose community support for the reform process.

- Microeconomic reform policies may induce structural change in industry which firms and employees may find difficult to adapt to especially in terms of changes in work practices.

- Microeconomic reform policies can lead to structural unemployment in the industries affected which will require government income support and job re-training programmes.

Microeconomic Reforms in Product Markets

- The national competition policy was implemented in 1995 with the *Competition Policy Reform Act 1995*. This included reforms to regulation which restricted competition and rules for limiting the anti-competitive conduct of firms. The *Competition and Consumer Act 2010* was passed in 2011 and introduced the Australian Consumer Law Act to protect consumers and ensure fair trading.

- Reductions in the protection of domestic industry from import competition were introduced in the 1988 and 1991 Industry Statements. These led to the reduction in the majority of tariffs on imported manufactured goods to 5% by 1996 and the abolition of quotas for the textiles, clothing and footwear industry.

  Further reductions in tariffs in 2010 and 2015 have led to the average effective rate of assistance falling to 5% or less. This has led to lower prices for consumers and more choice.

- Reform of the taxation system occurred in 1985 with the broadening of the tax base to include fringe benefits tax and capital gains tax. In 2000 *The New Tax System* led to the introduction of the GST of 10% on most goods and services, the new Pay As You Go (PAYG) income tax system and a reduction in the company tax rate to 30%. These measures led to a broadening of the tax base and changing the tax mix to put more emphasis on indirect taxes and less on direct taxes as a source of revenue.

  Between 2000 and 2019 there have been various tax measures mainly involving cuts to marginal tax rates and raising tax thresholds to increase incentives to raise productivity and saving. However most of the wide ranging reforms proposed by the *Henry Tax Review* in 2010 were not implemented.

Microeconomic Reforms in Factor Markets

- Financial deregulation occurred in 1983 with the decision to abolish all direct Reserve Bank controls over interest rates and the volume and direction of lending by banks. More foreign banks were allowed to enter the capital market to increase competition and the Reserve Bank conducted monetary policy more effectively by using open market operations rather than direct controls over banks.

  A further reform was to float the exchange rate by allowing its value to be market determined. Changes in the value of the Australian dollar would therefore reflect changes in market forces and provide some insulation properties from external shocks to economic activity.

- Labour market reforms have included the adoption of the principle of enterprise bargaining in wage negotiations in 1993 and the decentralisation of wage negotiations. This led to less reliance on centralised wage fixing and allowed for more flexibility in negotiations between employers and employees over wages and working conditions.

  Further reforms occurred under the *Fair Work Act 2009* which rationalised awards and placed emphasis on collective bargaining in single enterprise, multi enterprise and greenfields agreements. These were subject to a Better Off Overall Test (BOOT) to protect workers' wages and conditions.

Deregulation of Markets

A significant area of microeconomic reform has been the removal of government restrictions on the operation of some important markets.

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This is known as deregulation and is seen as a means of making markets more competitive and firms more efficient as a result. Major markets which have been deregulated include the financial system (1983), the domestic aviation industry (1991) and telecommunications (between 1992 and 1997).

Reform of Public Trading Enterprises

The reform of public trading enterprises (PTEs), especially in the infrastructure sector, has been undertaken to make them more efficient and profitable. This includes the privatisation by public sale of former PTEs such as Telstra, the Commonwealth Bank, Qantas and Medibank Private.

Many state and federal PTEs have been corporatised by adopting more efficient management structures and being accountable for their performance.

Other PTEs which provide goods and services to consumers on a commercial basis such as Australia Post and NBN Co. are required to pay dividends to their government owners as part of a policy of commercialisation. This policy also applies to many state government owned energy utilities which are regulated and subject to the principles of corporatisation and commercialisation.

The Productivity Commission (PC)

The Productivity Commission (PC) is the key government body responsible for conducting public inquiries and research into various industries and making recommendations to the government to improve Australia's economic performance. In its report *Shifting the Dial - 5 Year Productivity Review* (2017) it concluded that labour productivity (2.2%) and multifactor productivity growth (< 1%) in particular had stalled or fallen away between 2007-08 and 2015-16 compared to between 1993-94 and 1998-99. Productivity growth is important for income growth and rising living standards.

This trend was despite the takeup of digital technologies and capital deepening. The PC recommended that governments (state and federal) could do much more to raise productivity outcomes through direct policies to:

- Improve the outcomes in the education and health systems.
- Investment and development in economic and social infrastructure.
- Support and funding for private and public research, innovation and the diffusion of new knowledge/technology.

MICROECONOMIC REFORM POLICIES: REVIEW QUESTIONS

1. Define microeconomic reform policies and give two examples of such policies.
2. Discuss the key features of microeconomic reform policies.
3. Explain with reference to Figure 1 how microeconomic reform can lead to an increase in aggregate supply in the Australian economy.
4. Explain the link between an increase in productivity and the potential efficiency gains from successful microeconomic reform policies.
5. Evaluate the benefits and costs of microeconomic reform policies.
6. Analyse one microeconomic reform policy in product markets and factor markets.
7. Discuss the roles of deregulation and reforms to PTEs as microeconomic reforms.

DEFINE THE FOLLOWING TERMS AND ABBREVIATIONS

aggregate demand	factor markets	microeconomics	GDP
aggregate supply	financial deregulation	privatisation	GST
commercialisation	labour market reform	product markets	MFP
competition policy	macroeconomics	productivity	PC
deregulation	microeconomic reform	taxation reform	PTEs

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